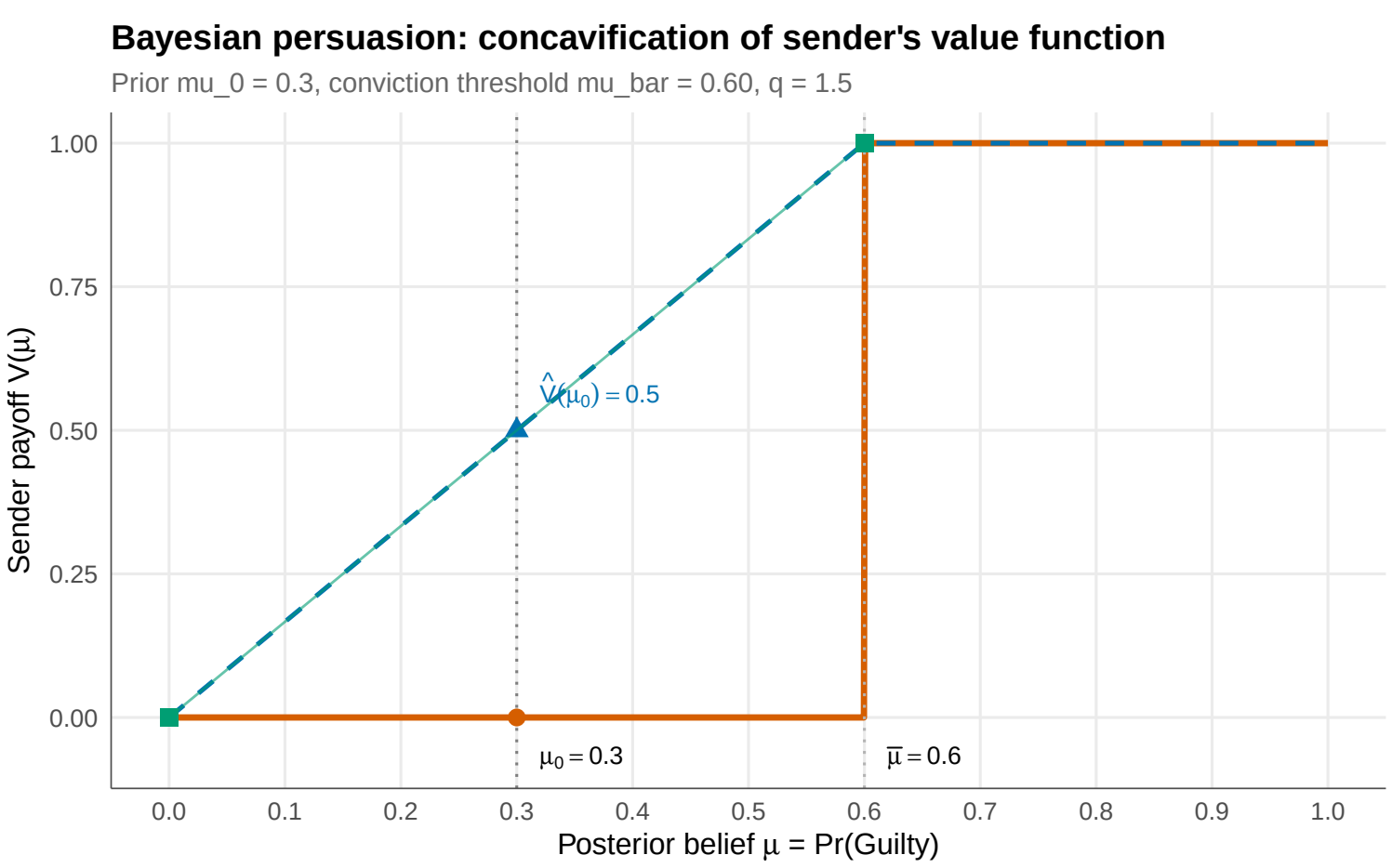
Bayesian persuasion: concavification of sender's value function
Prior mu_0 = 0.3, conviction threshold mu_bar = 0.60, q = 1.5
1.00
0.75
0.50
0.25
0.00
Sender payoff V(μ)
$\hat{V}(\mu_0) = 0.5$
$\mu_0 = 0.3$
$\bar{\mu} = 0.6$
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.8
0.9
1.0
Posterior belief μ = Pr(Guilty)